NON-BINDING VMS PARTICIPATION & COMPENSATION PROPOSAL

Date	September 7, 2026
To	Ayush Tyagi
From	Vital8T Ventures Inc. (V8T.V) / Randy Duguay
Re	Value Management Solution (VMS) – proposed participation and ongoing development arrangement

NON-BINDING DISCUSSION DRAFT – This letter is intended only to summarize proposed business terms for discussion. It does not create a binding obligation, equity interest, revenue right, employment relationship, or amendment to any existing agreement. Any binding rights will arise only after the parties review, approve, and sign a definitive written agreement.

Dear Ayush,

I want to recognize the work you have put into building the VMS application from the ground up. You have done an excellent job in executing the initial solution, maintaining strong attention to quality and detail, and continuing to stay engaged as we refine the platform and consider new capabilities, including AI-enabled features. As VMS moves from an initial product build toward broader commercialization, I would like to establish a meaningful participation structure that recognizes your contribution to date and provides additional upside for continued involvement.

The following points are the proposed basis for a future definitive VMS Participation and Revenue Sharing Agreement.

1. VMS Economic Participation Interest – 20%

- A total contractual economic participation interest equal to 20% of the VMS solution is proposed.
- 12.5% would vest immediately upon execution of the definitive agreement, recognizing your development work and contribution completed to date.
- The remaining 7.5% would vest monthly over the following 24 months, equal to 0.3125% per completed month of continued engagement with Vital8T Ventures Inc.
- Once vested, the economic participation would not expire merely if or because the development relationship later ends.
- The participation relates only to VMS. It would not constitute shares in V8T.V, shares in Sound Management Systems (SMS), voting rights, board rights, or ownership of other V8T.V assets.
- The principal purpose of the Economic Participation is to provide you with long-term participation in the capital value of VMS if there is a sale, spin-out, or other defined liquidity event relating to the VMS solution (asset).

Explanation: The 20% economic participation is different from the revenue participation described below. It is intended for you to participate in the long-term value of VMS, rather than to provide 20% of each customer subscription.

2. Vesting and Continued Participation

- The 12.5% initial vested portion recognizes past contribution and would be fully earned at signing of the definitive agreement.
- The additional 7.5% would vest monthly while you remain reasonably engaged in agreed VMS development, maintenance, enhancement, or technical support activities.
- If your involvement ends before the 24-month vesting period is complete, the vested portion would remain yours and the unvested balance would lapse, subject to any agreed acceleration provisions.
- For the definitive agreement, we should consider full acceleration of any unvested participation if the VMS asset is sold or transferred during the vesting period, and an appropriate limited acceleration if V8T.V ends the ongoing engagement without cause.

3. Revenue Participation

- You would receive 7.5% of Net VMS Licence Revenue actually received by V8T.V.
- Once VMS reaches 50 active paying client accounts, the revenue participation percentage would increase prospectively from 7.5% to 10%.
- For clarity, a 'Paid Client' would mean an active VMS customer for whom V8T.V is actually receiving VMS licence or subscription revenue. A client receiving an included/free first year would not count as a Paid Client until paid VMS revenue begins – however, all fees relating to VMS may be assigned and shared when provided.
- The increased 10% rate would apply to Net VMS Licence Revenue received after the 50-paid-client threshold is achieved and would not be retroactive to earlier receipts.
- Revenue participation would be calculated only on VMS licence/subscription receipts payable to and actually collected by V8T.V, whether received through SMS or another authorized VMS commercial channel.

Working definition of Net VMS Licence Revenue

For discussion purposes, 'Net VMS Licence Revenue' would mean recurring licence or subscription fees actually received by V8T.V for access to or use of VMS, less applicable sales taxes, refunds, credits, chargebacks, and third-party payment-processing charges. It would exclude consulting fees, custom development fees, investment proceeds, grants, and revenues unrelated to VMS.

Illustrative example

Using the previously discussed SMS reseller example, if a customer pays $2,500 annually and V8T.V receives 65% ($1,625) as its VMS licence receipt:

Revenue Stage	Calculation (per client receipt)	Ayush Participation
Before 50 paid clients	7.5% × $1,625 for annual	$121.88
After 50 paid clients	10% × $1,625	$162.50

The separate 20% VMS economic participation would remain in place and would not be added to the 7.5%/10% revenue percentage.

NOTE: Our objective is to sign many clients for annual subscription, so while a single client example is small, you can see how the solution can scale if we reach 100 or 1000 or more annual clients if we are able to sell the solution at this subscription amount.

4. Revenue Participation Buyout Right

- The revenue participation right would continue while VMS is commercially operated, subject to a V8T.V buyout right.
- Beginning after the fifth anniversary of the first commercial VMS licence revenue received by V8T.V, V8T.V would have the option to buy out the ongoing revenue participation right.
- The proposed buyout price would be 3.0 times the total revenue participation amount paid or payable to you during the immediately preceding 12 months.
- Exercise of the revenue participation buyout would not, by itself, buy out or cancel your vested VMS Economic Participation interest. Any purchase of that separate economic interest would require a separate mutually agreed transaction. The definitive agreement would also include reasonable notice, payment timing, and calculation/audit mechanics for any buyout.

5. Future Development Compensation

- As VMS begins generating commercial revenue and/or when V8T.V has greater development budget available, I intend for future development work to move progressively toward paid compensation.
- Paid work may be structured through an agreed hourly rate, fixed-fee statement of work, milestone fee, or recurring development/support retainer, depending on the work required.
- Future cash compensation would be separate from your vested VMS economic participation and revenue participation unless we specifically agree otherwise in writing.
- No minimum volume of paid work or guaranteed hours would be created by this letter; individual paid assignments would be agreed separately.
- This approach is intended to ensure that future feature development is increasingly compensated in cash rather than requiring repeated increases to the VMS participation percentage.

6. Intellectual Property and Existing Agreement

- V8T.V and you already have an agreement addressing development and intellectual-property ownership/assignment.
- The definitive participation agreement would confirm, rather than replace, the existing IP ownership arrangement unless we mutually agree otherwise in writing.
- All VMS source code, platform components, enhancements, documentation, integrations, and related IP created within the scope of the VMS engagement would continue to be handled in accordance with the existing IP agreement.
- The economic and revenue participation rights described in this letter are compensation/participation rights and are not intended to create separate ownership of the underlying VMS IP.

7. Future VMS Spin-Out or Dedicated Company

- If V8T.V later transfers VMS into a dedicated corporation or other separate entity, your then-vested VMS Economic Participation would be converted into an equivalent economic/equity participation in the new VMS entity, subject to the definitive transaction documents.
- After conversion, future financing, employee option pools, acquisitions, or other issuances could dilute all holders proportionately unless different terms are agreed.
- The intent is to preserve the economic substance of your vested VMS Economic Participation if the product is separated from V8T.V for financing, growth, or strategic reasons.

8. Sale or Other VMS Liquidity Event

- If V8T.V sells substantially all of the VMS (asset) business or VMS intellectual property rather than completing a spin-out, your vested economic participation would entitle you to the corresponding percentage of defined Net VMS Sale Proceeds.
- The definitive agreement would need to define permitted deductions from sale proceeds, treatment of assumed liabilities, transaction costs, earn-outs, escrow amounts, and non-cash consideration.
- Any unvested treatment at the time of sale would follow the acceleration provision agreed in the definitive agreement.

9. Term and Continuing Effect

- Vested VMS Economic Participation would generally continue indefinitely until a sale, conversion, separate buyout, or other event defined in the definitive agreement.
- The 24-month vesting schedule governs only the remaining unvested 7.5% portion.
- Revenue participation would continue while VMS licence revenue is received, unless bought out under the proposed buyout provision or otherwise settled as part of a sale/spin-out.
- Any ongoing development services would be governed by the existing development agreement and/or future statements of work rather than by an indefinite service obligation in the participation agreement.

* The definitive agreement may be extended after the initial 5 years term by mutual agreement, with terms similar to those indicated here.

10. Next Step and Non-Binding Status

I am presenting these terms as a positive framework for discussion and to recognize the value of your contribution to VMS. If the general structure is acceptable to both of us, the next step would be to have the terms reviewed and converted into a definitive written agreement, including appropriate legal, tax, accounting, vesting, reporting, and buyout provisions.

Until that definitive agreement is completed and signed by both parties, this letter remains non-binding and is not intended to create enforceable rights or obligations.

Regards,

Randy Duguay



Vital8T Ventures Inc. (V8T.V)
Value Management Solution (VMS)

Optional discussion acknowledgement (non-binding): I acknowledge receipt of this proposal for review and discussion. My acknowledgement does not constitute acceptance of binding terms.

Ayush Tyagi: _____ Date: _____